transactions by the government were also done, such as 5.6 per cent stake in Oil India at Rs 1135 crore and 6.64 per cent stake in Engineers India at Rs 658 crore. A few transactions were meant only for employees of CPSEs. The strategic sale of HPCL to ONGC yielded the government Rs 36,915 crore. Sale of equity stakes held in the Specified Undertaking of the Unit Trust of India (SUUTI) contributed Rs 4154 crore.

The disinvestment target for 2018–19 was initially pegged lower at Rs 80,000 crore. The government finally realized Rs 84,972 crore. A total of twenty-two disinvestment transactions were carried out, yielding Rs 62,900 crore. Further, four strategic disinvestments were carried out. The largest was a sale to another CPSE: the entire government stake in REC was sold to power major PFC at Rs 14,500 crore. The other three transactions were also stake sales to other CPSEs. Dredging Corporation was sold at Rs 1049 crore to a joint venture of CPSEs of the Ministry of Shipping. HSCC Ltd and NPCC Ltd were also sold. These were more in the nature of consolidation of similar businesses under one CPSE rather than many small companies doing the same thing. SUUTI holds a significant stake in major companies like ITC, L&T and Axis Bank. In 2018–19, a good chunk of shares held by SUUTI in Axis Bank were sold for Rs 5379 crore.

Buoyed by the success of the previous two years, the government decided to enhance the disinvestment target for 2019–20 to Rs 1.05 lakh crore. It also made a few strategic moves, including putting companies on a disinvestment route. Still, actual performance turned out to be so poor, missing the target by more than half. What went wrong?

For reasons analysed in detail in the chapter on public-sector enterprises, the market kept selling pressure on CPSE share prices, resulting in CPSE market prices declining continuously during the year. Sensing that the minority stake sale through the offer for sale (OFS) and exchange traded fund (ETF) routes would not yield good prices, the government cut down the sale through these routes. Very few IPOs happened in the year.